

BBAR pitch deck

PITCH — BBAR — VERDICT

PROPOSED — PENDING ADJUDICATION — no position before the 2026-08-27 after-close print; reopen for a 0.4–0.5%-of-book starter on 2026-08-28 only if reserve coverage holds and the price is at or under \$14.60.

What we believe

Banco BBVA Argentina is an ordinary, well-capitalized retail bank trading at roughly the value of its own net assets and about nine times earnings, inside a country whose currency is the actual risk. At \$14.80 (Aug-25 close) the whole company is worth about \$3.0B against a book value of roughly \$3.0–3.1B once you correct the accounting — so you are paying about one times book, not the 1.08x or 1.13x our own benches variously claimed.

We also believe the quarter that prints tomorrow is largely already known, and it is a mixed quarter dressed as a good one. The 66.55% parent, BBVA Group, published its own second-quarter country breakdown about a month ago. For Argentina it discloses: bad loans up 10 basis points to 6.4% of the book, reserve coverage of those bad loans **down three points to 76%**, and quarterly profit up roughly 70% versus the prior quarter (€46M vs €27M). Loans grew 14.1% in the half against 17.0% inflation — the loan book shrank in real terms.

That shape — profits up, reserves thinner, the loan book shrinking after inflation — is a beat you discount rather than chase. The thinner reserves are worth about \$19M of catch-up against roughly \$80M of quarterly earnings: about a quarter of one quarter's profit. Material, not fatal. It is a reason to demand a lower price, not a reason to refuse to own the bank.

So: we believe the asset is roughly fairly priced and ownable in small size, we believe tomorrow's headline will look better than the underlying quarter, and we believe there is no good reason to buy it in the twenty-four hours before a binary event we cannot handicap.

What the market believes

The market believes this is a cheap bank you don't want. Nine times earnings and one times book on a bank earning a positive real return is not the market saying "broken" — it is the market saying "the peso." The peso sits at 1,510, its weakest in a year, pinned against the top of its official trading band; country risk is back above 500 basis points. Argentine bank equity is priced as a leveraged bet on whether that band holds.

On the specific quarter, the market appears not to have priced the parent's disclosure. We could not find a single BBAR-specific note referencing the 76% coverage figure. The consensus number circulating for

the quarter (ARS 494.18 per ordinary share) is roughly 3.5x the prior quarter's actual and does not reconcile to any per-share basis we could rebuild — that suggests inattention rather than a considered view.

Why we might have edge

Three places, and only three:

- 1. The parent tells you the answer a month early.** BBVA Group reports on an earlier calendar than its Argentine subsidiary and publishes a country-level appendix, not just a regional one. That appendix contains the subsidiary's bad-loan ratio, reserve coverage, cost of risk and profit for a quarter the subsidiary has not yet reported. This is a repeatable pattern for any majority-owned foreign bank with a listed parent, and it is now written up as a candidate detector. Primary source: <https://shareholdersandinvestors.bbva.com/informes/2q26-report-business-areas-south-america/> — and note that the *regional* aggregate (bad loans 4.0%, coverage 89%) points the opposite way from the *country* line. Reading the wrong one flips your conclusion; our red bench did exactly that.
- 2. Argentine accounting breaks standard screens.** BBAR files under the inflation-accounting standard: its balance sheet is stated in the purchasing power of the balance-sheet date, not today's. Dividing a March-31 equity figure by an August exchange rate — which is what almost every screen does — produces a wrong price-to-book. Once you restate (roughly 13% Argentine inflation from April to August against 7.7% currency depreciation, so the peso actually appreciated in real terms), book value comes out near \$3.10B and the stock is at or slightly below book rather than 8% above it. Same error in the return comparison: the bank's 8.3% return on equity is a *real* return, while the ~9.1% Argentine sovereign bond yield is a *nominal* dollar yield (about 6.6% real). Compared properly it's roughly 7.5–8.3% real equity against 6.6% real sovereign — a much thinner gap than either the pass or the fail our benches asserted.
- 3. Nobody has done the per-share arithmetic.** The widely-quoted forward P/E of 8.09 implies about \$1.83 of earnings per ADR, which is roughly 1.85 times the quoted consensus per ordinary share. Those two vendor numbers cannot both be right. Rebuilt from the parent's own figure — \$80M a quarter, \$320M annualized against a \$3.02B market value — the multiple is about 9.4x. The “cheap” claim survives, but with a mechanism instead of a screen output.

Why it might be priced in

Honestly: most of it probably is.

The parent's report is public and free. Any dedicated holder of an Argentine bank reads BBVA Group's quarterly. Our edge here may be nothing more than a one-month attention gap in a \$3B ADR, and attention gaps close on the print.

The currency risk is in everyone's price — that is *why* the multiple is nine and not fifteen. Buying because “it's cheap” when the cheapness is a correctly-priced currency risk is not edge, it is just taking

the risk at the going rate.

And a bank at roughly one times book earning roughly 8% real is, arithmetically, about fairly valued. There is no dislocation here. Our own accounting correction moved the stock from “slightly expensive on a wrong number” to “roughly fair on a right one” — that improves the honesty of the analysis but does not create a gap to close.

Finally, both objections that actually threaten the position — the currency band and the thin tradable float — are things every holder already knows. Objections everyone knows are objections that are already in the price. That cuts both ways: it argues against refusing to own the name, and it argues against expecting to be paid for being clever.

What could go wrong

Failure narrative 1 — the currency band breaks and the dollar value of everything halves overnight. The peso is at the ceiling of its official band with reserves under pressure. If the band goes, an ADR holder eats the full devaluation in dollars, immediately, with no hedge available at retail scale and no way to size out of it once it happens. This is monitorable — the peso rate against the ceiling, reserve levels, country risk spread — but it is not *actionable*, because the move happens in a gap, usually announced outside market hours. Monitoring it buys information, not protection.

Failure narrative 2 — the thin reserves are the first quarter of a credit cycle, not a one-quarter catch-up. We are treating the three-point coverage drop as a \$19M timing item. If instead retail delinquency is genuinely re-accelerating — and remember the system-level “stabilization” in June came partly from writing bad loans off the balance sheet rather than from borrowers curing — then coverage keeps sliding, provisions eat two or three quarters of earnings, and a bank at one times book becomes a bank at one times a shrinking book. Tripwire exists: quarterly coverage and bad-loan ratio, the central bank’s monthly banking report, the parent’s next country appendix.

Failure narrative 3 — no tripwire exists for this one. Argentina rewrites the rules of ownership by decree, over a weekend, with no observable run-up. Deposit freezes, forced conversion of dollar obligations into pesos, capital controls that trap the dividend, a windfall tax on bank profits, or a change in how foreign holders can repatriate. There is no dataset that goes yellow before this. The 2001–02 precedent did not telegraph itself in any series we could have been watching, and the pension fund’s 7.91% stake in this specific company is a standing invitation for a government that wants cash or influence. **Unknown-unknown class: political and legal-regime discontinuity — the counterparty rewriting the contract, including the contract that says “you own this.”** No sensor can be armed for it. The only defense is position size, and the only honest statement is that we are accepting an unmeasurable tail in exchange for a measurable single-digit multiple.

The reflexive and structural leg. Our own trading is not the problem: the ADR trades about 744,000 shares a day, roughly \$11M, and a 0.4–0.5% starter for this book is a rounding error against that. Entry is easy. *Exit is the asymmetry* — the free float is genuinely thin (the parent holds 66.55%, the depositary bank another 15.53%, the state pension fund 7.91%), so the \$11M of daily volume is not a stable feature of the name. In the exact scenario where we want out (band break, decree, forced selling

by the pension fund) that volume is on the other side of the book and the spread widens against us. We would be entering a liquid-looking name and exiting an illiquid one.

The doctrine interaction is worth naming plainly, because it is a real way to get hurt. Our house rule says that when a court's objections are all things the whole market already knows, the default is a small starter rather than standing aside — the rule exists to stop us talking ourselves out of fairly-priced risk. Here that rule points at a buy, and both benches independently reached for it. But the rule was built for *idiosyncratic* fairly-paid risk, and what it is being applied to here is *country* risk — a single factor we may be picking up elsewhere in the book without noticing. A procedural nudge toward a starter is not the same thing as wanting to own the asset, and a second rule (buy quality at fair value rather than waiting for cheap) pushes the same direction. Two rules pointing at a purchase nobody is enthusiastic about is a warning, not a confirmation.

If this position loses money, the most likely reason will be that we bought a genuinely cheap bank whose cheapness was a correctly-priced bet on the Argentine peso, and the peso lost.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Trades 23.4% below its 50-day average of \$18.56 — a sign of informed selling" (our original brief)	Direct fetch of two independent vendor moving-average tables, Aug-25 stamped	The 50-day is \$14.646 and the stock closed \$14.80 — above it . The 5/10/20/50-day averages sit in a 22-cent band. There was no markdown.	NO — our own number was fabricated. This was the entire stated reason for standing aside. It does not exist.
Live price	Two independent feeds, directly fetched (not search snippets)	\$14.80 close Aug-25, prior close \$14.76. The evidence pack's \$14.355 was stale; a web <i>search</i> on the same name returned \$18.33 and \$18.86 from cached index text — both wrong.	Yes — and a reminder that search snippets are not prices
"Argentine consumer delinquency is still climbing"	Central bank monthly banking report, June edition, published ~Aug-21 — https://www.bcra.gob.ar/publicaciones/informe-sobre-bancos-junio-de-2026/	Household delinquency flat at 12.8% (19-month rise broke); credit cards fell to 12.6% ; personal loans rose to 16.4%; system-wide bad loans 7.6%	NO — our brief stopped at May and missed the quarter's closing month. But see next row
"...therefore consumer credit stabilized" (our red bench's rebuttal)	Same report, mechanism read rather than headline	Stabilization came substantially from moving bad debtors off the balance sheet as write-offs — a denominator cleanup, not borrowers curing. Cards are the most-written-off class, so the single line called decisive is the one most exposed. May was also revised up to 12.8%.	Partly — the direction is right, the cause is not organic
"Coverage of 88.41% is a red flag because it's below 100%"	Compared against the banking system, not against an abstract	System coverage is 86.6%. BBAR was above system. A ratio only means something against its peer group.	NO — our own comparator was arbitrary

Claim	How checked	Found	Confirmed?
Price-to-book of 1.08	Read the actual filing basis: 6-K exhibit states amounts “in constant currency – Note 2.1.5”	Equity of 4.024 trillion pesos is stated in March-31 purchasing power and was divided by an August exchange rate. Restated (~13% inflation vs 7.7% depreciation) book is ~\$3.10B → P/B ≈ 0.97–1.03	NO — but our red bench’s “correction” to 1.13 was further from the truth than the original error, and moved in the direction opposite to its own argument
“Return on equity of 8.3% fails the sovereign bond floor of 9.1%”	Checked units on both sides	8.3% is a real return; 9.1% is a nominal dollar yield (~6.6% real). Like-for-like: ~7.5–8.3% real equity vs ~6.6% real sovereign	Partly — the original comparison was wrong, but the “it clearly clears” rebuttal is also wrong: converting a real <i>peso</i> return into a real <i>dollar</i> return requires an exchange-rate assumption, and the same bench elsewhere argued the exchange rate is about to break. Indeterminate, and both benches overclaimed
Second-quarter earnings, per share	Tried to rebuild from the parent	Quoted consensus of ARS 494.18/share and the quoted forward P/E of 8.09 imply figures 1.85x apart and cannot both be right. Rebuilt from parent disclosure: ~\$80M/quarter → ~9.4x earnings	Partly — mechanism identified (annual figures are restated into December purchasing power, so quarters don’t add up), but neither bench produced an independent estimate for the quarter that prints tomorrow
Bad loans and reserve coverage into the print	Parent’s Q2 country appendix (primary, link above)	Argentina: bad loans 6.4%, up 10bp ; coverage 76%, down 3pp ; cost of risk 7.70%; quarterly profit €46M vs €27M prior quarter	Yes — and our red bench read the regional aggregate (4.0%/89%) instead, which flatters the opposite conclusion. Same document, one click apart
Market value	Share count × price	612.71M ordinary shares ÷ 3 per ADR = 204.2M ADRs × \$14.80 = \$3.02B . Vendors print \$3.20B. Unreconciled.	No — a ~6% discrepancy in the denominator of every valuation ratio in this deck remains unexplained

Claim	How checked	Found	Confirmed?
“1.00x book equals \$14.60/ADR” (our blue bench’s entry level)	Divided its own book estimate by its own share count	$\$3.10\text{B} \div 204.2\text{M} = \15.18 . So \$14.60 is about 0.96x book, not 1.00x.	No — the bench mislabeled its own gate. We keep the stricter \$14.60 and correct the label
Print date	Both benches assert a company press release names 2026-08-27 after close, call Aug-28	Consistent across benches; the pack’s date was derived from a data vendor	Not fully — neither bench cited the press-release URL. Treated as very likely, formally unconfirmed
Price history from our own broker	Attempted, three separate times across three benches	Permission denied every time. Every price and moving-average fact in this deck is vendor-sourced, not computed from bars we hold.	No

PROPOSED ENTRY BANDS

Before the print: no entry. No order. No resting bid. Both benches independently reached this, though the original reason for it (a phantom price drawdown) was false. The surviving reasons are: (a) a binary event roughly one trading day out that we cannot handicap better than the market, and (b) the parent’s disclosure telling us the headline will likely be better than the quarter.

Reopen on 2026-08-28, after the earnings call, only if all three conditions hold:

- **Reserve coverage** on the company’s own reporting basis is $\geq 85\%$, or management states a specific path back to it. (The parent’s group-basis 76% is not directly comparable to the company’s own ~88.41% at Q1 — the definitions differ. What transfers is the *change*: expect roughly 5.7% bad loans and ~85% coverage on the local basis. Below 80%, this stops being a timing item and the file closes.)
- **Price $\leq \$14.60$ per ADR.** That is approximately 0.96x restated book of ~\$3.10B (book parity is \$15.18 — we are deliberately demanding a small discount rather than paying parity, and correcting our own bench’s mislabeling).
- **Bad loans $\leq 6.0\%$** on the local basis. Above that, the “one-quarter catch-up” reading is wrong and there is no position.

Starter size: 0.4–0.5% of book. At any plausible size for this account that is a small fraction of the ~744,000 ADRs (~\$11M) of daily volume, so entry costs nothing. Size is set by the unhedgeable currency risk, not by liquidity.

Adds: none while the peso sits at the top of its band. First add only when *both* (a) the peso is meaningfully off the ceiling — an orderly move to roughly 1,450 or below, or an official widening of the band that does not gap the currency — and (b) coverage has recovered to $\geq 85\%$. Add size 0.3%, taking the position to no more than **1.0% of book total, hard cap**. No averaging down after a devaluation: a band break is new information, not a discount.

Second tranche (alternative path): at $\leq \$13.00$ — roughly 0.86x restated book — if and only if credit metrics are stable or improving. A price fall *with* deteriorating credit is not an add.

Exits and trims: - Reserve coverage below 80% on the local basis at any subsequent quarter, or bad loans above 6.5%: **exit in full**, regardless of price. - Currency band break: do not sell into the gap; reassess book value in restated terms within five business days and decide once. Pre-committing to sell into a decreed devaluation is pre-committing to sell the bottom. - Trim half above **\$19.00** (~1.25x restated book) absent a genuine improvement in the real return on equity — this is a fairly-valued asset, not a compounder we hold through a re-rating.

Catalyst dates: - **2026-08-27, after the close** — Q2 results. Call 2026-08-28, 12:00 Buenos Aires time. Both benches call this confirmed by company release; neither produced the link, so we treat it as very likely rather than certain. - **~2026-09-21** — central bank monthly banking report, July edition (June's landed Aug-21). This is the test of whether June's "stabilization" survives once the write-off effect washes through. - **Late October 2026** — BBVA Group Q3 results, country appendix. On the pattern established this quarter, this pre-resolves BBAR's Q3 print by roughly a month. This is the single most valuable recurring date on the file.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 13.0 (deck-provisional: Second tranche at ~0.86x restated book, only with stable or improving credit metrics)
- filing watch: 6-K until 2027-02-22 (deck-provisional: Q2 2026 results due 2026-08-27 after close: extract bad-loan ratio and reserve coverage on the local b)
- dated pack BBAR|2026-08-27: BBAR: Q2 2026 results, after market close; call 2026-08-28 12:00 Buenos Aires (date confirmed=False)
- dated pack BBAR|2026-09-21: BBAR: BCRA Informe sobre Bancos, July edition - tests whether June household delinquency stabilization survives the write-off effect (date c)
- dated pack BBAR|2026-10-29: BBAR: BBVA Group Q3 2026 results, South America country appendix - pre-resolves BBAR Q3 asset quality by roughly one month (date confirmed=F

What remains unverified

- **The quarter itself.** No bench produced an independent estimate of BBAR's Q2 earnings. We have the parent's figure for Argentina (€46M attributable) and no reconciliation to what the subsidiary will report on its own basis.
- **The definitional gap between the parent's numbers and the company's own.** The parent says 6.4% bad loans on a group basis; the company said 5.60% on its local basis for the prior quarter. We are transferring *changes*, not *levels*, and we have not verified that the changes transfer cleanly either.

- **The market value discrepancy.** \$3.02B computed from shares outstanding versus \$3.20B printed by vendors, roughly 6%, unexplained. It sits underneath every ratio here.
- **The inflation series** used to restate book value is derived, not pulled from the official source. The direction of the correction is safe; the magnitude is approximate.
- **Whether the equity clears the sovereign bond alternative at all.** Converting a real peso return into a real dollar return requires a view on the real exchange rate, and the whole point of the currency risk is that we do not have one. Both benches asserted an answer; neither is entitled to it.
- **The print date** — asserted by both benches as confirmed by company release, no link produced.
- **Every price in this deck**, in the sense that matters: none of it came from bars we control.
- **App-based retail engagement and collections friction** — the one measurement that could independently test the parent's "retail bad-loan inflows" claim. Not run; access denied.

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